WEEK 9 · LECTURE L3 · UNIT III

Accountability: Humans, Algorithms and Redress

Who answers for an algorithmic decision, why a human in the loop is not enough, and what workers under algorithmic management are owed.

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AFTER THIS LECTURE YOU SHOULD BE ABLE TO

What this lecture prepares you for

1. Explain why a human in the loop is not enough (automation bias), and specify a meaningful human review.
2. Apply Leicht-Deobald et al. on personal integrity and Leventhal’s procedural rules to algorithmic HR.
3. Analyze how platforms manage gig workers through information asymmetry, using Rosenblat and Stark and Hirschman.
4. Design accountability and redress, and apply the precautionary principle.

ONE SOURCE

The same theories as the in class lecture and the course hub, without the simulation data used in class. Course outcomes: CLO 3 and CLO 5.

COMMIT BEFORE THEORY

Commit to an answer first

A firm adds a manager who must approve every algorithmic rejection. In practice the manager approves 99% within seconds. Is the decision now accountable?

A

Yes: a human approved it

B

Not really: a human who rubber stamps adds a name, not judgment

C

Yes, if the manager is senior

D

No algorithmic decision can ever be accountable

EXAM LENS

The answer is B.

PARASURAMAN AND MANZEY (2010)

Why a human in the loop is not enough

Automation bias

People follow automated advice even when it is wrong, and miss errors it does not flag.

Complacency

Monitoring slackens when the system is usually right.

What real oversight needs

Time to review, the reasons behind the score, and the authority and incentive to overrule.

EXAM LENS

Attention, not intention, makes oversight fail.

A REAL HUMAN REVIEW

Four questions

Who reviews

A named role with authority to overturn the algorithm.

How often

A set cadence, not only when someone complains.

By what criteria

Written standards for when to override.

Escalation

Where a disputed case goes next, and how fast.

EXAM LENS

A review without all four is a rubber stamp, and an explainability dashboard is not a correction.

This four part specification is the course’s own framing.

THEORY IN DEPTH · LEICHT-DEOBALD ET AL. (2019)

Algorithms can crowd out personal integrity

The core idea

When systems decide, people may stop exercising moral judgment and simply comply.

How it works

Algorithm based decisions can marginalize human sensemaking, encourage blind trust in rules, dull moral imagination, invite gaming of what is measured and diffuse responsibility.

Limits and critique

Remedies: critical data literacy, ethical awareness, participatory design and private regulatory regimes inside the firm.

IN PRACTICE

A manager who says “the system flagged her” has handed away a judgment that remains his.

EXAM LENS

Delegating a decision to a system does not delegate the responsibility for it.

THEORY IN DEPTH · LEVENTHAL (1980)

Fair procedures follow six rules

The core idea

People judge fairness by the process as well as the outcome.

How it works

Consistency, bias suppression, accuracy, correctability, representation and ethicality.

Limits and critique

Cultures weigh the rules differently, and good process cannot fully offset bad outcomes.

IN PRACTICE

Deactivating a worker without appeal fails correctability; an appeal route is the cheapest fairness gain available.

EXAM LENS

Test any algorithmic HR process against all six rules; correctability is usually the first to fail.

THEORY IN DEPTH · ROSENBLAT AND STARK (2016)

Platforms manage through information asymmetry

The core idea

A study of Uber drivers found the platform controls work by deciding what information drivers see.

How it works

The platform knows how work is allocated, how ratings are used, how pay is set; the worker sees an offer, a rating, a payout, no reasons and little warning. Hidden rules, nudges and ratings steer behavior without a visible manager.

Limits and critique

One platform in one country; practices vary and are changing under regulation.

IN PRACTICE

A partner with customer ratings above the top tier average can remain in the lowest incentive tier if undisclosed factors (acceptance rate, hours, location) drive allocation.

EXAM LENS

Formally independent, closely managed: link to Kellogg et al.’s six Rs and the Code on Social Security 2020.

THEORY IN DEPTH · HIRSCHMAN (1970)

Exit, voice and loyalty

The core idea

When an organization declines, members can leave (exit) or speak up (voice).

How it works

Where voice is blocked, exit rises; loyalty delays exit and makes voice more likely.

Limits and critique

Gig workers often have neither cheap exit nor real voice.

IN PRACTICE

Platforms with no working grievance route typically see high churn in their lowest tiers: exit becomes the only voice left.

EXAM LENS

Use exit and voice to argue that grievance mechanisms serve the organization as well as workers.

When harm is likely and benefit unproven, the burden shifts

The core idea

Lack of full scientific certainty should not delay action to prevent serious harm.

How it works

Those who want to continue a risky practice must show it is safe, not the reverse.

Limits and critique

Critics argue that, applied strictly, it can block useful innovation.

IN PRACTICE

A hiring tool with an adverse impact ratio well below 0.80 and no proven benefit should carry the burden of justification.

EXAM LENS

Note the origin (environmental policy, Principle 15) and justify its transfer to HR explicitly.

WHAT ACCOUNTABILITY REQUIRES

Five links

Transparency

People know an algorithm is used and on what basis.

Contestability

They can challenge a decision and get reasons.

Human review

Someone with time, information and authority decides.

Redress

Wrong decisions are corrected and remedied.

Ownership

A named owner answers for the system (NIST Govern).

COURSE FRAMING

If any link is missing, accountability exists on paper only. Accountability is not having a policy.

WHAT GIG WORKERS UNDER ALGORITHMS ARE OWED

Four duties, and two designs

Ratings transparency

How ratings are calculated and used.

Notice and reasons

Before deactivation or a pay change, with a chance to respond and a human decision.

A grievance route

That reaches a person, with a time limit, a recorded outcome and a pattern report to management.

Social security linkage

Registration and contributions under the Code on Social Security, 2020.

COURSE FRAMING

Week 10 develops the law; this week establishes why algorithmic management creates these duties.

APPLY

A deactivated delivery partner

Teaching case (Course framing)

A Chennai delivery partner with a 4.8 rating is deactivated overnight for “low acceptance”. He cannot see his acceptance rate or the threshold. The app’s help button returns template replies. A review team approves 98% of automated deactivations within a day.

Work it through

1. What information asymmetry does he face?
2. Which links of the accountability chain are missing?
3. Is the review team real oversight? Use automation bias.
4. What would you change first, and who should own it?

COMMON CONFUSIONS

Tempting readings, and better ones

A tempting reading	A better reading
A human in the loop guarantees accountability	Automation bias makes rubber stamping likely; oversight needs time, reasons and authority
Platform workers are independent, so not managed	They are managed closely through information they cannot see
Accountability means having a policy	It means transparency, contestability, review, redress and a named owner
The system decided	Responsibility stays with the people who use it

COMPARE AND EVALUATE

Six lenses on accountability

Lens	Explains	Prescribes
Parasuraman and Manzey (2010)	Why oversight fails	Time, reasons, authority to overrule
Leicht-Deobald et al. (2019)	How algorithms erode judgment	Data literacy, participation, internal regulation
Leventhal (1980)	What makes a process fair	Six rules; correctability first
Rosenblat and Stark (2016)	How platforms control	Disclosure of rules
Hirschman (1970)	Why voice matters	Working grievance routes
Precautionary principle	Who bears the burden	Risky tools must prove safety

PRACTICE FOR THE END TERM EXAMINATION

Questions to rehearse (1 of 2)

A food delivery platform in India deactivates workers automatically on low acceptance rates. Using automation bias, Rosenblat and Stark, and Leicht-Deobald and colleagues, evaluate the accountability of this system and design a redress process. **20 marks**

A strong answer: explains information asymmetry as control; shows why human review may fail; applies the integrity argument; designs transparency, contestability, review, redress and ownership, with a limit.

"Human in the loop is meaningless unless specified." Design a human review for an algorithmic HR decision and evaluate its limits. **20 marks**

A strong answer: specifies who, cadence, criteria and escalation; uses Leventhal and Leicht-Deobald; discusses automation bias.

PRACTICE FOR THE END TERM EXAMINATION

Questions to rehearse (2 of 2)

Using Rosenblat and Stark, Kellogg et al. and Hirschman, analyze the fairness of algorithmic management of gig workers in India. **20 marks**

A strong answer: explains information asymmetry, the six Rs and exit and voice; links to the Code on Social Security 2020; proposes transparency and grievance mechanisms.

Explain the precautionary principle and its application to HR algorithms. **10 marks**

A strong answer: states the principle, the burden shift and the critique.

CARRY THESE INTO THE EXAMINATION

Four things to remember

1. **A rubber stamp is not oversight.**
   Name who, how often, criteria and escalation.

2. **Delegating a decision does not delegate responsibility.**
   Integrity stays with people.

3. **Hidden rules are a form of control.**
   Disclose them, and give a route to a person.

4. **Where voice is blocked, people exit.**
   Correctability is the first fairness gain.

SET READINGS · FROM THE LESSON PLAN

Read for this week

- Leicht-Deobald, U., et al. (2019). The challenges of algorithm based HR decision making for personal integrity. *Journal of Business Ethics, 160*(2), 377 to 392.

NEXT WEEK

- NITI Aayog (2022); Gratton (2021); Susskind (2020); Scully-Russ and Torraco (2020), whole article.

> **NOTE**
> The other works named in this lecture are theory sources for reference, not set readings.

Sources for this lecture

- Hirschman, A. O. (1970). *Exit, voice, and loyalty*. Harvard University Press.
- Kellogg, K. C., Valentine, M. A., & Christin, A. (2020). Algorithms at work. *Academy of Management Annals, 14*(1), 366 to 410. https://doi.org/10.5465/annals.2018.0174
- Leicht-Deobald, U., Busch, T., Schank, C., Weibel, A., Schafheitle, S., Wildhaber, I., & Kasper, G. (2019). The challenges of algorithm based HR decision making for personal integrity. *Journal of Business Ethics, 160*(2), 377 to 392. https://doi.org/10.1007/s10551-019-04204-w
- Leventhal, G. S. (1980). What should be done with equity theory? In K. J. Gergen, M. S. Greenberg, & R. H. Willis (Eds.), *Social exchange* (pp. 27 to 55). Plenum.
- Parasuraman, R., & Manzey, D. H. (2010). Complacency and bias in human use of automation. *Human Factors, 52*(3), 381 to 410. https://doi.org/10.1177/0018720810376055
- Rosenblat, A., & Stark, L. (2016). Algorithmic labor and information asymmetries: A case study of Uber's drivers. *International Journal of Communication, 10*, 3758 to 3784.
- United Nations. (1992). *Rio Declaration on Environment and Development*, Principle 15.